

Rigetti Computing, Inc.

RGTI NASDAQ

Neutral

\$20.18 ▼ 16.47%

12M Price Target
\$22.00

52-Week Range
\$10.30 – \$58.15

Market Cap
\$6.71B

RGTI: Quantinuum IPO Flop Triggers Sector Re-Rating; Downgrade to Neutral

WHAT'S CHANGED

- RGTI -16.47% to \$20.18 on heavy volume (40.3M sh), erasing the entire May rally; move directly tied to Quantinuum's failed IPO debut (Barron's, Bloomberg) which re-priced the entire quantum-pure-play comp set lower.
- CEO Kulkarni sold 61,000 shares at \$24.38 on June 1 (\$1.49M) — cluster-selling signal at near-cycle highs, with material June \$14 put activity (15,333 contracts, 3.2x OI) signaling downside hedging.

IMPLICATIONS

The Quantinuum IPO break is the single most important read-through for RGTI: public-market investors are no longer willing to underwrite Honeywell-blessed quantum at premium revenue multiples, which directly compresses the implied ceiling for pre-revenue/sub-scale peers trading on narrative. RGTI's CHIPS Act equity deal remains a structural positive (non-dilutive validation, government anchor customer optionality), but with \$18M of 2026E revenue against a \$6.7B market cap (~370x EV/Sales), the stock is a pure sentiment vehicle until logical-qubit roadmap milestones convert. Insider selling into strength plus elevated put flow argues the path of least resistance is lower into the next earnings print.

VALUATION

At \$20.18, RGTI trades at ~370x FY2026E revenue and ~210x FY2027E — multiples that only clear if investors believe in a 2028-2030 fault-tolerant inflection. Our \$22 PT is anchored to a blended 150x FY2027E revenue (still a >50% premium to enterprise SaaS at hypergrowth) discounted for binary technology risk, implying ~9% upside and reflecting our view that the Quantinuum overhang caps near-term multiple expansion. Re-rating catalyst: demonstrated >99.9% two-qubit gate fidelity on Ankaa or commercial bookings inflection.

KEY RISKS

- Sector contagion from Quantinuum's broken IPO extends to a broader quantum de-rating; 52-week range shows RGTI has already round-tripped from \$58 high.
- Capital raise risk — at \$6.7B cap and persistent operating losses, an ATM offering into any strength is highly probable and dilutive.
- Technical milestone slippage on logical qubit roadmap removes the only fundamental anchor supporting the multiple.

RECENT NEWS

Quantinuum Stock Falls After Uninspiring Quantum IPO Debut. What Went Wrong?
Barrons.com · 2026-06-05 17:25

Why Rigetti Computing Stock Just Crashed Motley Fool · 2026-06-05 16:07

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-06-05 19:21 UTC

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Key Data

Price (USD)	\$20.18
12M Price Target	\$22.00
Upside / (Downside)	+9.0%
Market Cap	\$6.71B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.45)
FY2027E EPS	(\$0.38)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$26.00	\$20.00	\$15.00
6 Months	\$32.00	\$22.00	\$13.00
1 Year	\$42.00	\$25.00	\$11.00
2 Years	\$60.00	\$32.00	\$9.00
5 Years	\$120.00	\$55.00	\$6.00
10 Years	\$300.00	\$110.00	\$4.00

SECTOR INTELLIGENCE

HOT SECTORS: Consumer Staples, Healthcare

COLD SECTORS: Industrials, Speculative Tech (Quantum)

ROTATION WATCH: Defensive leadership (Staples +2.16%, Healthcare +0.79%, Utilities +0.86%) signals risk-off rotation; quantum/long-duration tech is the funding source. Until rate-cut clarity returns, narrative-driven names face systematic outflows.

BYPRODUCT PLAY: Cryogenic infrastructure (BKSJ, MKSI), photonics suppliers, and hyperscaler quantum-as-a-service (IBM, GOOGL, MSFT) capture quantum demand without binary technology risk and are the rational expression of the theme in a risk-off tape.

OUTPERFORMERS & PEER CONTEXT

- IBM (International Business Machines): Quantum System Two roadmap and Heron processor traction give it monetizable quantum exposure inside a profitable, dividend-paying wrapper — clear flight-to-quality winner.
- IONQ (IONQ Inc.): Trapped-ion architecture and AFRL/DoD contract wins have historically commanded premium multiple vs. superconducting peers; relative outperformance accelerates on RGTI weakness.

RGTI CONTEXT: RGTI is lagging the quantum peer group — down 16% today vs. relatively muted Quantinuum close — suggesting it's bearing disproportionate sentiment damage as the highest-beta U.S. pure-play. Trading at 21% of 52-week range vs. broader market near highs confirms idiosyncratic weakness, not a sector-wide flush.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve)

Entry Points: \$15-17 on capitulation; avoid chasing above \$24

Time Horizon: 12-24 months

Thesis Invalidation: Failure to demonstrate logical qubit milestones or CHIPS Act funding clawback

Hedging: Long IONQ or QBTS as quantum-basket pair; short-dated OTM puts as tail hedge